

PORTUGAL 2015

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1. Overview of the tax-benefit system

The Portuguese Social Security encompasses an insurance-based benefit system and a social benefit system. The former comprises unemployment protection with duration related to age and contribution record, sickness benefits, family allowances and parental leave. The latter comprises a social insertion programme, social parental leave together with unemployment assistance related to the employment history and economic resources of the recipient. Childcare benefits are made to the provider of childcare and not to the parents or children that attend it. There are no provisions for lone parents and large families, though positive discrimination exists in a comprehensive set of measures (for example in family and unemployment benefits). The tax unit is the family.

1.1. Average Worker wage (AW)

The national currency is the euro (EUR). In 2015, the Secretariat has estimated the average worker earned EUR 17 280.

2. Unemployment insurance

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Unemployment insurance (Subsídio de desemprego)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 360 days in last 24 months
Waiting period (days)		0
Maximum duration (months)		Beneficiaries under new rules: 26 months Beneficiaries under old rules: 38 months
Uprating mechanism of the benefit		No uprating
Calculation of unemployment insurance benefit:	initial benefit as % of earnings base	65% calculated on the basis of a 30 day month (former invalidity pensioners: 80 % of IAS (Social Support Index - € 419,22) for single unemployed and 100 % of IAS for unemployed with family)
	benefit at the end of legal entitlement period in % of earnings base	10% reduction of benefit from month 7 on
	Earnings base for calculation of benefit	Gross earnings
	Permitted employment and disregards when receiving unemployment insurance benefit	Partial unemployment insurance benefit if the beneficiary accepts a part-time job or self-employment, provided the earnings are lower than the unemployment insurance benefit. The amount received is equal to the difference between 1.35 times the unemployment benefit and earnings from part-time work or 1/12 of self-employment earnings unless 1.35 times the unemployment insurance benefit is less than the minimum guaranteed salary plus total earnings and the partial unemployment insurance benefit would otherwise be less than the minimum guaranteed salary, in which case the full amount of unemployment insurance benefits is retained.
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + benefit duration increases with age and contribution record, refer to country specific information for more details
	family situation	G: + 10% with dependent children if both parents on UI or lone parent with no rights to alimony payments
	contract type	Permanent or temporary
	other	0

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

2.1 *Conditions for receipt*

Unemployment insurance (UI) is compulsory for employees and some categories of self-employed, such as economically dependent self-employed (receiving 80% or more of earnings from a single firm or firms belonging to the entrepreneurship group). Claimants must be in a situation of involuntary unemployment, be capable and available for employment and be registered at the employment office. Since January 2014 the provision of UI was extended to administrators, managers and members of the statutory board (see section 2.5.3)

Unemployment is regarded as involuntary whenever the end of the work contract is due to:

- Unilateral decision by the employer;
- Work contract expiration not determined by pension;
- Contract rescission by the employee with just cause (as long as the employer places no arguments against or placing them the employee proves to have set a legal action against the employer);
- Mutual agreement between employer and employee in the case of companies in situations such as a process of structural re-adaptation or recovery or any other situation that allow for collective dismissal of employees;
- For the self-employed, they lose the contract with the firm or group of firms responsible for at least 80% of their earnings.

Invalidity pensioners who are considered to be able to work as a result of a re-assessment of their incapability are also regarded as involuntary unemployed individuals.

2.1.1 *Employment conditions*

Employment condition for UI eligibility is 360 days of employment record in the last 24 months before unemployment. Eligibility is dependent on the involuntary of the unemployment status. Entitlement for the self-employed requires at least 720 days consecutive of professional activity with social security contributions in the last 2 years prior to the end of the contract.

2.1.2 *Contribution conditions*

The contribution condition coincides with the employment condition.

For the economically dependent self-employed it is required that the hiring entity/entities have made the social contributions payments for at least 2 years, one of which must be the last year prior to the end of the contract.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The benefit amounts to 65 per cent of the average salary during the 12 months period ending 2 months before unemployment. This calculation takes into account the annual vacation bonus and the Christmas bonus due in the reference period. The maximum benefit amount is the lower of 2.5 times the IAS (Índice dos Apoios Sociais – Social Support Index) or 75% of net reference remuneration; the minimum amount is the amount of the IAS or of the average remuneration (also referred to as reference remuneration), whichever is lower. The IAS amount in 2015 was EUR 419.22 per month. The unemployment benefit is paid on a monthly basis. Unemployment insurance subsidy daily amount is reduced by 10% after the first 6 months.

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

The unemployment insurance benefit may be accumulated with part-time work or self-employment if the earnings from work are inferior to the UI amount. In these situations the UI benefit is equal to the difference between 1.35 times the unemployment benefit and the value of part-time work or self-employment earnings unless 1.35 times the unemployment benefit is less than the minimum guaranteed salary plus total earnings and the partial unemployment insurance benefit would otherwise be less than the minimum guaranteed salary, in which case the full amount of unemployment insurance benefit is retained. UI cannot be accumulated with pensions with the exception of pensions for occupational risks.

The policy for the accumulation of unemployment benefits will obey the following principles:

- The employer must pay the wages set under collective bargaining and the law;
- In certain cases, the unemployed worker who accepts a job offer whose remuneration is lower than their unemployment benefits is entitled to the following benefits that encourage the acceptance of the work position including:
 - Financial support equivalent to 50% of unemployment benefits during the first six months, in compliance with certain limits;
 - Financial support equivalent to 25% of unemployment benefits in the following six months, in compliance with certain limits;
- The maximum duration of the policy for accumulation is 12 months;
- The work provided under this measure does not preclude the possibility of the beneficiary resuming unemployment benefits in case of termination, and the period of work performed with accumulation discounted within the general period in which the unemployment benefits are granted;
- This will not lead to a change in the concept of convenient employment.

2.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

During the period of subsidized unemployment (UI) a full-time working social contribution equivalent is registered for pension entitlement and accrual purpose. This means that during subsidized unemployment, individuals do not interrupt their contributory career and the reference earnings are registered as if actual wages were being received.

Unemployment insurance benefit is suspended whenever there is recognition of entitlement to the following benefits: benefit for medical risk during pregnancy; benefit for pregnancy interruption; initial parental benefit; initial parental benefit exclusive of the father; initial parental benefit exclusive of the mother; initial parental benefit assigned to a parent in case of the other parent impossibility; adoption benefit.

Those entitled to partial unemployment insurance benefit who are not covered by the benefits exposed above but are incapable to work due to sickness, childbirth or adoption have the right to receive the unemployment insurance benefit during the period of incapacity or impossibility to work.

2.4 Benefit duration and waiting periods

There is no waiting period. Duration increases with age and contributory record after the last subsidized unemployment spell according to the following table (see grandfathering safeguard below):

Age	Contributory career	Duration (days)	Extended duration
<30	≤15 months	150	30 days for each group of 5 years of contributory record in the last 20 years-
	≥15 and <24 months	210	
	≥24 months	330	
30 – 39	≤15 months	180	30 days for each group of 5 years of contributory record in the last 20 years
	≥15 and <24 months	330	
	≥24 months	420	
40 – 49	≤15 months	210	45 days for each group of 5 years of contributory record in the last 20 years
	≥15 and <24 months	360	
	≥60 months	540	
≥50	≤15 months	270	60 days for each group of 5 years of contributory record in the last 20 years
	≥15 and <24 months	480	
	≥24 months	540	

If the individual does not use the extended duration that he/she is entitled to because he resumes work previously, the contribution period that wasn't used may be taken into consideration for the extended duration in the next unemployment spell.

There is no special condition for re-applying for UI, as eligibility is regained only by fulfilling a new period of 360 days of work with registered social contributions.

The maximum concession for new beneficiaries' period is 540 days, safeguarding the acquired rights of beneficiaries. It is also possible to exceed the period of 540 days, depending on the age of the beneficiary and the number of months with registered wages in the period immediately preceding the date of unemployment, namely through an additional period for longer contributory career.

There is a grandfathering safeguard clause in the reduction of UI duration. Unemployed that already had fulfilled the eligibility conditions for UI before this change are entitled to the durations formerly in force exclusively for the first unemployment situation (see table below). In addition, the process of reduction of the concession periods of unemployment benefits for current active employees, bearing in mind the following rules:

- Workers who benefit from an allowance period longer than that foreseen in previous paragraph maintain all the rights they now enjoy;
- The workers entitled to an allowance period shorter than that foreseen in previous paragraph will progress up to the limits thereby specified.

Due to the grandfathering safeguard clause, individuals who had already fulfilled the eligibility condition by 31st March 2012 keep the entitlement to the previous UI duration schedule as shown in the table during the first unemployment spell.

Age	Contributory career	Duration (days)	Extended duration
< 30	≤ 24 months	270	-
	> 24 months	360	30 days for each group of 5 years of contributory record in the last 20 years
30 – 39	≤ 48 months	360	-
	> 48 months	540	30 days for each group of 5 years of contributory record in the last 20 years
40 – 44	≤ 60 months	540	-
	> 60 months	720	30 days for each group of 5 years of contributory record in the last 20 years
≥ 45	≤ 72 months	720	-
	> 72 months	900	60 days for each group of 5 years of contributory record in the last 20 years

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

If an employer offers an open-ended contract to workers in search of the first job there is a temporary exemption from employers' social security contributions. This exemption has a maximum duration of 36 months.

2.5.2 *Older workers*

As shown in point 2.4, the UI duration increases with age.

Older workers on long-term unemployment have special conditions to access their Old Age Pension. After exhausting the UI or the IUSA (see point 3):

- a 57 year old or older unemployed can apply for early retirement if he/she was 52 years old or more when became unemployed and he/she had at least 22 years of registered earnings when entered unemployment. In these cases the statutory pension amount is reduced by a factor of 0.5% by each month the pension is brought forward before the age of 62.
- Early retirement is also possible if the long-term unemployed is aged 62 or older, was aged 57 or older when he/she became unemployed and has at least 15 years of registered earnings.

If unemployment is due to contract rescission by mutual agreement, the early old-age pension has an additional reduction $[1-(n * 3\%)]$, in which n is the number of years the pension is brought forward between 62 and 65 years old which is revoked when the pensioner reaches the age of 65.

2.5.3 *Others if applicable, including disabled*

Parent workers with resident dependent children

Unemployed couples and lone parent with dependent children are entitled to an increase of 10% in the amount of UI:

- a) If both members of a couple with dependent children receive unemployment insurance;
- b) If a lone parent receives employment insurance and there is no right to alimony legally set by the Court.

Long-term unemployed

In the situation of offering an open-ended contract to long-term unemployed, there is a temporary exemption from employers' social security contributions. This exemption has a maximum duration of 36 months.

Open system detainees

In the situation of offering an open-ended contract to detainees in open system, there is a temporary exemption from employers' social security contributions or a social security reduction of 50%. The exemption has a maximum duration of 36 months.

Workers with disability and older workers,

In the situation of offering an open-ended contract to a disabled person whose ability for work is less than 80% of normal capacity required of a non-disabled worker in the same job, there is a reduction in employers' social security contribution rate (which is 11.9%).

There are other situations determining a reduction in contribution rates, namely those arising from the permanence of workers with at least 65 years of age and 40 years of insurance in the labour market, pre-retirement agreements and the accumulation of professional activity exercised by disability and old age pensioners.

Self-employed with firm-related activity and other groups

Unemployment benefit is available to self-employed carrying out commercial or industrial activities (individual entrepreneurs with commercial or industrial activities; owners of individual businesses with limited liability) and their spouses who regularly participate in the business activities as well as to members of the statutory bodies of legal persons.

The scheme provides for entitlement to a professional activity cessation allowance (*subsídio por cessação de atividade profissional*) and to a partial professional activity cessation allowance (*subsídio parcial por cessação de atividade profissional*), for those persons who are receiving this benefit and start part time self employment.

To qualify for the benefit they need to have completed 720 days with earnings registrations in the 48 months prior to the date of end of the activity.

The duration depends on the age and number of months with earnings registration.

Age	Number of Months	Duration	
		Number of Days	Increase
< 30 years	At least 24	330	30 days by each 5 years with registrations in the last 20 years
> = 30 and < 40 years		420	
< = 40 and < 50 years		540	45 days by each 5 years with registrations in the last 20 years
>= 50 years		540	60 days by each 5 years with registrations in the last 20 years

The amount is calculated according to the same rules prescribed for the UI benefit.

Self-employed economically dependent

Unemployment benefit is also available to those self-employed who are economically dependent of one single contracting entity (i.e. who provide at least 80% of their activities on behalf of a contracting entity). They have the same conditions of access as the previous benefit, the same duration and the amount is calculated in the same manner.

The scheme provides for entitlement to activity cessation allowance (*Subsídio por cessação de atividade*) and to partial activity cessation allowance (*Subsídio parcial por cessação de atividade*) when the self-employed workers concerned, among other conditions, have completed 720 days of nonsalaried, economically dependent activity for which contributions have effectively been paid in the course of the 48 months immediately preceding the date of involuntary cessation of the service contract.

3. Unemployment assistance

The Unemployment Social Allowance (USA) is a flat-amount benefit aimed at protecting the unemployed individuals in two situations. Firstly, recently unemployed persons who do not fulfil the eligibility condition necessary to access UI may be entitled to the Initial Unemployment Social Allowance (IUSA). Secondly, unemployed individuals who have exhausted the maximum duration of UI may be entitled to the Subsequent Unemployment Social Allowance (SUSA). USA duration is related to age of the claimant (see 3.4).

Overview of the unemployment assistance scheme (see Chapter 3 for more details):

Program name (local name)		Initial unemployment social allowance (IUSA) (<i>Subsídio Social de Desemprego - Inicial</i>), Subsequent unemployment social allowance (SUSA) (<i>Subsídio Social de Desemprego - Subsequente</i>)
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		E + C: 180 days in the year previous to unemployment or UI exhausted
Waiting period (days)		No
Maximum duration (months)		28 months if on initial unemployment social allowance, half if on subsequent unemployment social allowance after exhausting unemployment insurance, for beneficiaries under the new rules; 38 months if on initial unemployment social allowance, half if on subsequent unemployment social allowance after exhausting unemployment insurance, for beneficiaries under the old rules.
Up-rating mechanism of the benefit		No up-rating
Calculation of unemployment assistance benefit:	initial benefit as % of earnings base	100% for beneficiaries with family 80% for single beneficiaries
	benefit at the end of legal entitlement period in % of earnings base	100% for beneficiaries with family 80% for single beneficiaries
	Earnings/calculation base	Social support index (<i>Indexante dos Apoios Sociais (IAS)</i> , 419.22 euros per month in 2014)

	Permitted employment and disregards when receiving unemployment assistance benefit	Means test on family level (using OECD equivalence scale) with 100% withdrawal rate. Claimant cannot earn more than 50% IAS from self-employment.
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + because duration of benefit increases with age
	family situation	G: + Higher flat rate benefit than for single person (100% of social support index regardless of family size).
	contract type	Permanent or temporary
	other	Can be extended until retirement age if beneficiaries are at least 52 years old when becoming unemployed.

3.1 Conditions for receipt

To receive the initial Unemployment Social Allowance (USA), claimants have to be between 18 and 65 years of age and be registered unemployed, looking for work and available for work. The Unemployment Social Allowance may be renewed until the age of pensionable age anticipation is reached, provided that: i) when unemployment begins the insured person is aged 52 or over; ii) at the time of its renewal the insured person continues to meet the qualifying conditions for the Unemployment Social Allowance.

The USA entitlement is a means-tested benefit, as the monthly income *per capita* of the claimant's household cannot exceed 80% of IAS. The monthly income *per capita* results from the sum of all monthly household income divided by the original OECD Equivalence Scale (First adult = 1; Other adults = 0.7; Child(ren) = 0.5; children are here considered to be everybody under 18 years old).

If the beneficiary's household has real estate ownership this asset is also considered for the reference income. The household own house (for residential purposes) is not considered up to a maximum EUR 188,649.00 (450 times the IAS). If the tax evaluation of the own house is above that threshold, 5% of the difference is taken into account. For subsequent properties the larger of the following amounts is considered: i) rent revenues, ii) 5% of the tax valuation of the real estate.

The reference income includes interest revenue from assets, such as bank accounts, shares, investment funds, etc. and 5% of its nominal value is also considered as income. If the household own assets (Bank accounts, shares, investment funds, etc.) worth more than EUR 100,612.80 (240 times the value of the IAS) there is no SII entitlement.

The USA entitlement is dependent on the continuous involuntary nature of unemployment status. The job-search conditions for becoming and remaining entitled to the USA are similar to the ones applied to the UI.

3.1.1 Employment conditions

The employment conditions for entitlement to USA are: to have had an employment with work contract, to have become unemployed unwillingly and to be registered at the Local Employment Centre. In addition, this benefit is means tested, which means that the beneficiary must prove that the household earns less than 80 per cent of IAS per capita (see point 3).

Additionally, the claimant cannot have any dependent work and cannot earn monthly more than 50 per cent of the IAS from self-employment.

3.1.2 *Contribution conditions*

The claimant must have worked as an employee with registered social contributions for 180 days in the year previous to unemployment.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Benefit amounts per month are linked to the IAS and depend on family type. The amount is the lower of two values: i) the net reference income and ii) the respective value presented on the table below:

Family type	In % of IAS	
	After UI benefit	Not eligible for UI
Single	80	80
With a partner	100	100

3.2.1.1 *Irregular additional payments*

Not applicable.

3.2.1.2 *Obligations of family members*

Not applicable.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

The claimant cannot have earning from work (with the exception mentioned on point 3.1.1) and/or pensions other than pensions for occupational risks or similar.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. For pension entitlements, the reference earnings are registered as if actual wages in the case of Initial USA while the previous amount of UI is registered in the case of Subsequent USA.

3.4 *Benefit duration and waiting periods*

For beneficiaries of the initial Unemployment Social Allowance the duration is the same as in point 2.4. For those claiming Unemployment Social Allowance the duration is reduced to half the duration indicated in point 2.4. For the Unemployment Social Allowance that is paid subsequently, its duration may be extended until the age of anticipated pension is reached (as stated under 3.1 above).

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

Similar to point 2.5.1

3.5.2 *Older workers*

Similar to point 2.5.2 – The Unemployment Social Allowance duration can be extended until retirement age if the beneficiaries are at least 52 years old at the moment of unemployment and fulfill, at the time of the extension, all the conditions necessary to receive this benefit.

3.5.3 *Others if applicable, including disabled*

Parent workers with resident dependent children

The benefit amount increases from 80% IAS to 100% IAS for beneficiaries that are not single unit households.

4. Social assistance

The Social Insertion Income (formerly Minimum Guaranteed Income) is focused to support individuals or families in situations of great economic need. The Social Insertion Income (SII) is both a benefit, part of the Social Welfare sub-system of the Public Social Security System, and an insertion programme, with an aim to provide individuals and their households with the means tailored to satisfy their basic needs and allow for a progressive insertion in the labour market, the community and society.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Social Insertion Income (Rendimento Social de Inserção)
Age condition for social assistance receipt		Aged at least 18, exceptions if minor dependants or people with disabilities, pregnant, married (or in a de facto union for more than 2 years), own monthly income above €124.70
Legal behavioural requirements	Registration as unemployed	Yes, as part of the Insertion Programme that is established with granting the benefit
	Participation in integration measures	Yes, as part of the Insertion Programme that is established with granting the benefit
	Active job search	Yes, as part of the Insertion Programme that is established with granting the benefit
	Work requirement	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	The Insertion Programme must be established no later than 60 days after granting the benefit. When needed, declaration authorizing access to bank accounts or assets description.
	Legal behavioural requirements for adult family members other than the benefit claimant	Family members must comply with Insertion Program, otherwise family loses that person's part of the benefit entitlement Claiming other social security benefits and also alimony if available.
Determination of benefit levels		National
Uprating mechanism of the benefit		No uprating (income updating can result in changes in the benefit amount)
Other supplements to basic benefit (per family)		None
Means-test for social assistance	Earnings disregards	80% of earnings less social security contributions considered in means test, 50% of earnings from a new job by any family member out of social assistance receipt is held up against benefit rates during first year of employment.
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	Yes. The value of real estate and/or movable property cannot exceed, each one, 60 x amount of IAS (€ 25.153,20).

	Other benefits included in the means test	Yes. All benefits except for the family allowance, disability and assistance by a 3 rd person benefits.
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + 50% rate for other adult, 30% for each minor.
	over time	E: when the Insertion Programme is not fulfilled, benefit is cancelled temporarily. G: reduction in the benefit amount in the 2 nd year and from the 3 rd year onwards if the household lives in social housing.
	other	0

Notes:

1. Conditions for healthy working-age individuals.

4.1 Conditions for receipt

For entitlement legal residency in Portugal is required, the subscription and fulfilment of the Insertion Programme established, to provide evidence for the situation of great economic need and to be at least 18 years of age. There are exceptions to the age condition: if there are dependant minors or in case the entitled individual is pregnant. The benefit maximum amount and eligibility threshold are indexed to the IAS. The indexation factor is 42.495 % in 2015 (EUR 178.15).

Great economic need is recognized in the following situations:

- Individuals whose income is below EUR 178.15 per month in 2015.
- Households whose income is below the sum of the following amounts:
 - 100% of the EUR 178.15 for the first adult;
 - 50% of the EUR 178.15 for each other adult;
 - 30% of the EUR 178.15 for each minor.
- The claimant and household members, at the time he submits the application, cannot own assets (Bank accounts, shares, investment funds, etc.) worth more than EUR 25,153.20 (60 times the IAS);

For SII purposes the calculation of the household income results from the sum of all the income sources (gross income) in the month previous to the requirement (or the average of the 3 months previous to the requirement in case of independent workers or workers with variable wages), excluding the housing subsidy, family benefits and scholarships. In addition only 80% of labour income after deduction of the contributions to social security is taken into account.

The following income is taken into account for calculating the household income:

- gross income from work earnings (as employees and/or as self-employed)
- gross income from capital
- gross income from property
- income from pensions
- income from social benefits
- regular housing benefits

- scholarships and training grants

If the household benefits from social housing, the household income is increased by:

- EUR 15.45 during the first year of SII;
- EUR 30.91 on the first annual renewal of SII ;
- EUR 46.36 from the second annual renewal onwards.

If the household has real estate ownership of those assets are also considered for the reference income. The household's own house (for residential purposes) is not considered up to a maximum EUR 188,649.00 (450 times the IAS). If the tax evaluation of the own house is above that threshold, 5% of the difference is taken into account. For the remaining properties, the larger of the following amounts is considered: i) rent revenues, ii) 5% of the tax evaluation of the real estate.

The reference income includes interest revenue from assets, such as bank accounts, shares, investment funds, etc. and 5% of its nominal value is also considered as income. If the household own assets (Bank accounts, shares, investment funds, etc.) worth more than EUR 100,612.80 (240 times the value of the IAS) there is no entitlement for SII.

The value of the IAS will change each year according to a set of pre-established rules (for example: the IAS will increase in line with the consumer price index if real GDP growth is less than 2%, or higher than consumer price index if GDP growth is equal or higher than 2%). However this rule was not applied (exceptionally) since 2010.

If an individual becomes voluntarily unemployed they can only claim the Social Insertion Income entitlement after one year of unemployment.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The amount of the benefit equals the difference between the individual's/household's income and the amount of the SII, calculated according the rules above described.

4.2.1.1 Irregular additional payments

4.2.1.2 Obligations of family members

The Insertion Programme must be established no later than 60 days after granting the benefit of social integration income (SII). SII payment ends if individuals do not accomplish the insertion program.

If an adult household member other than the entitled person does not comply with the labour insertion program (or insertion programme), that person will be excluded from the household composition for the purpose of determining the "household adult equivalent dimension", but all income or earnings received by that family member will still be considered for the means test.

If the entitled person or beneficiary of the SII refuses, without a valid justification, the actions or measures of the insertion programme such as the offer of convenient work, socially necessary work or professional formation will determine the end of the benefit for that person.

When addressing family situation for eligibility for Social Insertion Income there are some situations where an inactive situation of an adult member may not be considered as non-compliance with job-search obligations, namely due to health issues or family responsibilities (assistance to a third family member with special needs), both certified by a medical authority. So, on the one hand, if in an initial situation the inactive status of a second adult member is accepted as necessary that person is considered as a beneficiary with no changes in the calculations. On the other hand, if there is a job-search program signed by that second adult and there is non-compliance behaviour, then changes in the benefit amount do occur. This case is used in the model.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Only 80% of labour income after deduction of the contributions to social security is considered for the calculation of the benefit amount.

If the entitled individual or a member of his/her family starts a new job during the receipt of the SII, only 50% of that job income obtained in the first 12 months of work is considered for the calculation of the SII benefit amount after deduction of contributions to social security. In both cases, holiday and Christmas bonus are taken into account in the SII calculation.

If the entitled individual or a member of his/her family develops occupational activities of social interest in employment programs, 80% of the allowance received are treated as income from work and considered for the calculation of the benefit amount.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration and waiting periods*

The eligibility to this benefit is not automatically renewed, as a reassessment of eligibility conditions is made during the month of renewal.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

4.5.2 *Older workers*

Older persons are exempt from registration with the employment centre and from being available for work.

4.5.3 *Others if applicable, including disabled*

Persons with incapacity for work are exempt from registration with the employment centre and of being available for work.

5. Housing benefits for rented accommodation

Support for housing costs is provided in three ways: i) the rent subsidy – aimed at the most economical needed households whose housing has been submitted to an extraordinary actualization; ii) the young adults rent incentive; iii) the supported rent regime – social renting of houses built/owned by the State.

In 1985, the DL 46/85 established the possibility of unfreezing the rent actualization, by prescribing a principle of annual actualization of all rents, according to the values determined in an annual legal diploma and allowing the extraordinary correction of rents frozen before 1980.

The rent subsidy can be divided in three categories: the General Regime, the Special Subsidy for Handicapped Renters (for renters with incapability of at least 60%) and the Special Needs Subsidy (renters receiving one of the aforementioned subsidies whose economic situation has experienced severe and sudden deterioration in their household income due to unemployment or the death of the main earner).

A special program of Real Estate Investment Funds for Rental Purpose was introduced in 2009 for people with loans secured on their main residence who can't afford the mortgage. Tenants have the option right to re-buy the house, until 31 December of 2020. Additionally, a temporary support was introduced in 2009 to unemployed people giving them the right to reduce temporarily (maximum of 24 months) their mortgage payments by 50%. At the end individuals must support the whole mortgage costs.

Regular housing benefits	Program name in local language		...
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	No
		Actual rental cost	Yes
	Description of regular housing benefit		Rent subsidies for tenants whose economic situation has experienced severe and sudden deterioration in terms of household income, namely due to unemployment or death of family earner.
	Uprating mechanism of the benefit		...
Housing related support through other benefits			Exceptional and occasional benefits to top up housing rents provided by the Social Action subsystem of the public Social Security System.

5.1 Conditions for receipt

The eligibility is granted to renters who suffered an extraordinary correction of the rent value, as long as the household income and rents respect the limits set in an annually published table.

5.2 Calculation of benefit amount

The calculation framework in the general regime is based on the rent value, the monthly gross income and the household dimension. The model establishes an equivalence between the income of households with different dimensions, calculating a standard reference income according to the average dimension of the families.

The process to compute the subsidy amount is based in the methodology used to determine annually the maximum limit for rent – which corresponds to the maximum of rent that can be subsidized, according to each household dimension – and also in a function that establishes the effort rate for each level of income.

Standard Income

The household standard income is calculated as follows:

Standard income = $[2,40 / f(n)] \times$ monthly gross income

$f(n)$ is the equivalence factor regarding the income of household with different dimensions, according to the table below. The figure 2.4 is the $f(n)$ value which corresponds to the average Portuguese household.

Household dimension (number of individuals)	$f(n)$
1	1
2	1.75
3	2.4
4	3
5	3.575
6	4.11
7	4.62
8	5.12
9	5.625
10	6.1

Maximum rent limit

The maximum rent limit is determined according to the suitability of the house regarding the household dimension, the rent rate and the housing prices by square meter of useful area. These parameters are legally defined.

The limits for 2010 are as follows:

Household dimension (number of individuals)	Rent Limit (Euro)
1	103.86
2	144.26
3	167.34
4	187.53
5	210.62
6	225.04
7	236.58
8	259.66

9	285.63
10	302.94

Base Rent

The base rent is computed by applying a percentage to the gross monthly income of the household, as described by the following formula:

$$p = 10 \times R_p / NMW$$

R_p represents the standard income; p represents the percentage.

5.2.1 Calculation of gross benefit

The benefit is calculated as follows:

a) if the rent is more than the rent limit:

$$S = 0,5 \times (R_l - R_b)$$

b) if the rent is less than or equal to the rent limit:

$$S = 0.5[1 + [(R_l - R) / (R_l - R_b)] \times (R - R_b)]$$

R stands for rent; R_l stands for rent limit; R_b stands for base rent and S stands for subsidy.

5.2.2 Income and earnings disregards

The beneficiary loses entitlement whether:

- a) The standard income is more than three times the NMW;
- b) The base rent is above the rent limit;
- c) The rent is below the base rent.

5.2.3 Costs eligible for housing benefits

5.3 Tax treatment of benefit and interaction with other benefits

Reference date for all information is July 1st 2015

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.4 *Treatment of particular groups*

5.4.1 Young persons

The *Programa Porta 65* supports the lease of housing for residence, through monthly cash benefits.

5.4.2 *Older workers*

Extraordinary and occasional rent support through cash benefits, for people in need of this temporary support, given by the Social Action subsystem of the Social Security System.

5.4.3 *Others if applicable, including disabled*

6. Family benefits

Program name (local name in parentheses if available)			Family benefit (Abono de Família para Crianças e Jovens)	Additional family benefit for school children (Bolsa de Estudos)	Additional family benefit for large families (Majoração para famílias mais numerosas)	Additional family benefit for lone parents (majoração para famílias monoparentais)
Type of benefit			Targeted	Targeted	Targeted	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		16 (24)	17, enrolled in upper secondary	12 to 36 months	16 (24)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No	No	Families with two or more children	No
Uprating mechanism of the benefit			...	...	...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	-	0	0	-
		Number of children	++	++	++	++
	Earnings disregard		No	No	No	No
	Withdrawal rate		Withdrawn in steps (according to income brackets) down to zero at income above 1.5 x IAS	Withdrawn in steps (according to income brackets) down to zero at income above 1 x IAS	Withdrawn in steps (according to income brackets) down to zero at income above 1.5 x IAS	Withdrawn in steps (according to income brackets) down to zero at income above 1.5 x IAS
	Assets part of means test?		Yes	Yes	Yes	Yes

6.1 Conditions for receipt

Requirements for entitlement: national or foreign, refugees or stateless children resident in Portugal; with no professional occupation; whose household has reference earnings below the maximum income level; and until the following ages:

- 16 years old;
- Or to the maximum of 24 years of age if enrolled in the school, university, professional training or other training periods, or in case of handicapped children receiving social benefits (this limit may be extended for 3 years in case of accident or disease hampering the school performance of the beneficiary);

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Benefits are paid based on age and income. There are two age groups for dependent children: children aged up to 12 months and children older than 12 months. There are also 4 levels of reference income (related to the IAS). The benefit is paid on a monthly basis.

The reference income comprises the sum of all income from each member of the household divided by the number of children of that household that benefit from the family allowance plus 1. The following sources of income are considered:

- Income from work (employee);
- Professional and business income;
- Capital income (and wealth);
- Land and real estate income (and wealth);
- Pensions;
- Any other social benefits that aim to replace the lost income from work granted by the Insurance System or Solidarity or Insurance Subsystem.

For the self-employed work income is calculated by the sum of 75% of services plus 15% of product sales.

This sum is then divided by the number of children in the family, plus one. The reference income includes interest revenue from assets, such as bank accounts, shares, investment funds, etc. and 5% of its nominal value is also considered as income. If the household owns assets (Bank accounts, shares, investment funds, etc.) worth more than EUR 100,612.80 (240 times the value of the IAS) there is no entitlement for family benefits (or other means-test benefits).

If the household benefits from social housing, then the difference between the technical price and the supported rent price is also considered as income. Therefore, the household income is increased by:

- EUR 15.45 in the first year;
- EUR 30.91 from the first annual renewal;
- EUR 46.36 from the second annual renewal onwards.

If the household has real estate ownership, these assets are also considered for the reference income: the household's own house (for residential purposes) is not considered up to a maximum EUR 188,649.00

Reference date for all information is July 1st 2015

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

(450 times the IAS); if the tax evaluation of the own house is above that threshold, 5% of the difference is counted as income; for the remaining house(s) the larger of the following amounts is counted as income: i) rent revenues, ii) 5% of tax evaluation of the real estate.

Income Level	Reference income related to the IAS
First	$\leq 0,5$ IAS
Second	$> 0,5$ IAS to ≤ 1 IAS
Third	> 1 IAS to $\leq 1,5$ IAS
Fourth	$> 1,5$ IAS

- Level 1: Families whose reference income is under 50 per cent of 14 times the reference value (i.e. under EUR 2 934.54);
- Level 2: Families whose reference income is over 50 per cent and under 100 per cent of 14 times the reference value (i.e. over EUR 2 934.54 and under EUR 5 869.08);
- Level 3: Families whose reference income is over 100 per cent and under 150 per cent of 14 times the reference value (i.e. over EUR 5 869.08 and under EUR 8 803.62);
- Level 4: Families whose reference income is over 150 per cent of 14 times the reference value (i.e. over EUR 8 803.62);

The family allowance is paid on a monthly basis. An additional monthly amount is payable in September to families on the first income level to compensate for the costs of education if the children are aged between 6 and 16 years and are enrolled in school.

The monthly amounts (Euros) per child in 2015 were (see also the table on 6.4.1):

Income level	Age ≤ 12 months	Age > 12 months
First	EUR 140.76	EUR 35.19
Second	EUR 116.74	EUR 29.19
Third	EUR 92.29	EUR 26.54
Fourth	EUR 0	EUR 0

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

The beneficiaries (children) of the family allowance can't accumulate these allowances with earned income.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

Children aged between 12 months and 36 months (inclusive) are entitled to double the Family Allowance amount if living in families with 2 children or to triple the Family Allowance amount if living in families with 3 or more children.

		Income level			
		First	Second	Third	Fourth
Each child < 12 months		EUR 140.76	EUR 116.74	EUR 92.29	EUR 0
Each child between 12 and 36 months	Families with 1 child	EUR 35.19	EUR 29.19	EUR 26.54	EUR 0
	Families with 2 children	EUR 70.38	EUR 58.38	EUR 53.08	EUR 0
	Families with 3 or more children	EUR 105.57	EUR 87.57	EUR 79.62	EUR 0
Each child >36 months		EUR 35.19	EUR 29.19	EUR 26.54	EUR 0

6.4.2 Older workers

6.4.3 Others if applicable, including disabled

Pregnant women are entitled to pre-birth family benefit from the 13th week onwards.

Pre-birth allowance		Income level			
		First	Second	Third	Fourth
Pregnant mother (expecting)	1 Baby	EUR 140.76	EUR 116.74	EUR 92.29	EUR 0
	Twins	EUR 281.52	EUR 233.48	EUR 184.58	EUR 0
	3 Babies	EUR 422.28	EUR 350.22	EUR 276.87	EUR 0

Lone-parent families are entitled to an increase of 20% on the family allowance in the following conditions:

- children and young persons living with only one relative or in-laws in a direct line or collateral line until the second degree or equivalent and
- pregnant women (from the 13th week of pregnancy onwards) entitled to pre-natal family benefit are entitled to family benefit if they are living alone or living only with children and young persons entitled to family benefit.

The table below shows the amounts for a lone-parent family:

Lone-parent family		Income level			
		First	Second	Third	Fourth
Each child < 12 months		EUR 168.91	EUR 140.09	EUR 110.75	EUR 0
Each child between 12 and 36 months	Families with 1 child	EUR 42.23	EUR 35.03	EUR 31.85	EUR 0
	Families with 2 children	EUR 84.46	EUR 70.06	EUR 63.70	EUR 0
	Families with 3 or more children	EUR 126.68	EUR 105.09	EUR 95.54	EUR 0
Each child >36 months		EUR 42.23	EUR 35.03	EUR 31.85	EUR 0

The table below shows the amounts for pre-birth allowance for a lone-parent family during pregnancy:

Pre-birth allowance lone-parent family		Income level			
		First	Second	Third	Fourth
Pregnant living sole	1 Baby	EUR 168.91	EUR 140.09	EUR 110.75	EUR 0
	Twins	EUR 337.82	EUR 280.18	EUR 221.50	EUR 0
	3 Babies	EUR 506.73	EUR 420.27	EUR 332.25	EUR 0

The family allowance may be increased if the child is handicapped.

- Eligibility conditions: the children must be handicapped, less than 24 years old and:
 - Be dependent on the insured person
 - Not working in any activity covered by the compulsory social protection scheme
 - Be enrolled or qualify for enrolment in a specialized rehabilitation equipment, or;
 - In need of personalized medical or educational support.
 - Satisfy the means test if covered by the non-contributory scheme

The amount added to the family allowance varies according to the age of the child. If the handicapped child lives in a lone-parent family, these amounts are increased by 20%. They are paid on a monthly basis.

Additional monthly amounts (in Euros)

Handicapped child	2015	2015 Lone parent families
Until 14 years of age	EUR 59.48	EUR 71.38
From 14 until 18 years of age	EUR 86.62	EUR 103.94

From 18 to 24 years of age	EUR 115.96	EUR 139.15
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Students under 18 years old enrolled in upper secondary school who benefit from the 1st or 2nd income level of family allowance are also entitled to a scholarship equal to the value of the family allowance.

Additional monthly amounts (in Euros)

Scholarships	2015	2015 Lone parent families
1st Income level	EUR 35.19	EUR 42.23
2nd Income level	EUR 29.92	EUR 35.03

6.4.4. Parental Leave Scheme

Parents with registered remuneration in the compulsory social insurance scheme are entitled to receive parental leave benefits (Protecção Social na Maternidade, Paternidade e Adoção). In specific situations, workers without compulsory social insurance who pay the voluntary social insurance (Seguro Social Voluntário) are also entitled to these benefits (for instance, scientific research fellows).

The parental leave scheme includes the following situations:

- Medical risk during pregnancy
- Pregnancy interruption
- Parenting
- Adoption
- Specific risks
- Child assistance in case of illness or accident
- Disabled or chronically ill child assistance
- Grandchild assistance

Each one of these situations corresponds to one or more benefits as described in the next table:

Parental Leave Scheme Benefits		Daily amount (% of the reference income) ⁽¹⁾ and Duration	
Benefit for medical risk during pregnancy		100% - without limit of time since medically certified	
Benefit for pregnancy interruption		100% from 14 to 30 days	
Parenting or Adoption	Parental benefit or Adoption benefit ⁽²⁾	<i>Parents don't share the leave</i>	<i>Parents share the leave</i>
	i) Initial parental benefit ⁽³⁾	100% in case of 120 days	100% in case of 150 days (120 + 30)
		80% in case of 150 days	83% in case of 180 days (150 + 30)
	ii) Initial parental benefit exclusive of the mother	100% - 30 days of optional leave before birth and 6 weeks (42 days) of compulsory leave after birth.	

	iii) Initial parental benefit exclusive of the father	100% - 10 days of compulsory leave (5 immediately after birth plus 5 in the first 30 days) plus 10 day of optional leave.
	Extended parental benefit or Extended adoption benefit	25% - 3 months for each parent of untransferable leave (maximum 6 months for both parents)
Specific risks benefit		65% - for the time considered necessary during pregnancy and/or breastfeeding if women work at night or are exposed to professional risk(s).
Child assistance in case of illness or accident benefit		65% - maximum of 30 days/year if the child is less than 12 years old or 15 days if the child is more than 12 years old plus 1 day for each additional child.
Disabled or chronically ill child assistance benefit		65% (maximum of 2 times the amount of IAS/month) - 6 months (maximum) with extension possible up to 4 years.
Grandchild assistance benefit		
i)	Grandchild birth assistance ⁽⁴⁾	100% - 30 days of leave after the grandchild birth
ii)	Grandchild assistance	65% - remaining days not used by parents under the child assistance benefit (maximum of 30 days/year). If the grandchild suffers from disability or chronicle disease child age limit is not applied.

Notes: (1) Christmas and holidays allowances not included. Minimum amount equals 80% of 1/30 of the IAS.

(2) The same rules applies also to the Initial Parental Benefit in the event of one of the parents being prevented from taking the leave (by death or physical or mental incapacity of one of the parents).

(3) Duration includes exclusive parental leave of the mother and of the father.

(4) Grandchild birth assistance is valid just if grandparent's child has less than 16 years and lives in the same household.

6.4.4.1. Conditions for receipt

Eligibility is granted to employees and self-employed residing in Portugal with at least 6 months (consecutive or not) of compulsory contributory records for the general social security scheme.

6.4.4.2 Calculation of benefit amount

The daily amount of benefits is paid according to the reference income of the beneficiary in the 6 months of registered earnings before the birth, calculated as follows: $R/180$ in which R corresponds to the total amount of income received during the first 6 months of the last 8 months prior to the birth (excluding Holidays and Christmas bonuses, i.e. the 13th and 14th wages) and 180 to the number of available days in 6 months.

However, if the beneficiary does not have 6 months of registered earnings before the fact, the daily amount of benefits are calculated as follows: $R/(30 \times n)$ in which R equals the total amount of income received and n equals the number of months.

The minimum amount of these benefits cannot be less than 80% of 1/30 of the IAS or 40% of 1/30 of the IAS in case of extended parental benefit.

6.4.4.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

During the period of subsidized parental leave and associated benefits a full-time social contribution equivalent is registered for pension entitlement. Beneficiaries do not interrupt their contributory career and the reference earnings are registered as if actual full-time wages were being received.

Parental leave scheme benefits cannot be accumulated with unemployment benefits and other social benefits with the exception of Disability, Old Age and Survivor's Pension, Social Insertion Income and Solidarity Supplement for the Elderly. During the social parental benefit/social adoption benefit the unemployed insurance is suspended until the term of these benefits.

In case of illness those entitled to parental leave, extended parental leave, adoption, disabled or chronically ill child assistance have the right to suspend the benefit.

6.4.5. Social Parental Benefits

Parents without the necessary contributory career and in a situation of economic hardship are protected by the new social parental protection scheme. The benefit, introduced for the first time in 2008, institutionalizes the right of almost all parents to a means-tested parental protection scheme independently of their working condition.

The social parental benefits include the following situations:

- Social benefit for medical risk during pregnancy
- Social benefit for pregnancy interruption
- Social parental benefit
- Social benefit for adoption
- Social benefit for specific risks

Each one of these situations corresponds to one or more benefits as described in the next table:

Social Parental Benefits	Daily amount (% of 1/30 of the IAS) and Duration	
Social benefit for medical risk during pregnancy	80% as long as necessary since medically certified	
Social benefit for pregnancy interruption	80% from 14 up to 30 days	
Social Parental Benefit or Adoption Benefit ⁽¹⁾	<i>If parents don't share leave</i>	<i>If parents share leave</i>
i) Initial social parental benefit ⁽²⁾	80% in case of 120 days 64% in case of 150 days	80% in case of 150 days (120 + 30) or (120 + 15 + 15) 66% in case of 180 days (150 + 30) or (150 + 15 + 15)
ii) Initial social parental benefit exclusive of the mother	80% during 30 optional days before birth and 6 compulsory weeks, 42 days, after birth.	

iii) Initial social parental benefit exclusive of the father	80% during 10 compulsory days (5 immediately after birth plus 5 in the first 30 days) plus 10 optional days
Social Specific Risks Benefit	80% as long as necessary during pregnancy or breastfeeding for women who work at night or who are exposed to professional risks.

Notes: (1) The same rules applies also to the Initial Parental Benefit in the event of one of the parents being prevented from taking the leave

(2) Duration includes exclusive social parental leave of the mother and of the father.

6.4.5.1 Conditions for receipt

Citizens residing in Portugal in a situation of economic hardship (including foreigners, refugees and stateless persons) and, as a consequence of the absence or inadequacy of their contribution record in the compulsory protection scheme or due to lack of entitlement to the corresponding allowances of the general social security scheme, cannot benefit from the protection assigned to employees and self-employed.

Social Parental Benefits	Less than 80% of the IAS	Unemployed with less than 80% of the IAS
Social benefit for medical risk during pregnancy	x	
Social benefit for pregnancy interruption	x	
Social parental benefit	x	x
Social adoption benefit	x	x
Social specific risks benefit	x	

6.4.5.2 Calculation of benefit amount

Access is means-tested, as defined in relation to monthly per adult equivalent income of the household, which may not exceed 80% of the value of the IAS (Social Support Index). The adult equivalent calculation is made with the following equivalence scale: first adult = 1; each other adult = 0.7; children = 0.5.

The daily amount of social parental benefit is index-linked to the value of the IAS, corresponding to 80% x 1/30 the value of this index reference (EUR 419,22 in 2015). Social parental benefit is equal to 64% x 1/30 of the value of the IAS in case the beneficiary opted for the 150 days' parental leave. The social benefits for medical risk during the pregnancy, pregnancy interruption and for specific risks correspond to 80% x 1/30 the value of this indexing reference.

6.4.5.3 Tax treatment of benefit and interaction with other benefits

Social benefits are not subject to taxation.

Social benefits cannot be accumulated with unemployment benefits and other social benefits with the exception of Survivor's Pension, Social Insertion Income (formerly minimum guaranteed income) and Solidarity Supplement for Old Persons. During the social parental benefit/social adoption benefit the unemployed insurance is suspended until the term of these benefits.

The duration of these benefits corresponds, in general terms, to that of parental leave scheme paid under the general social security system. (see table above Social Parental Benefits)

7. Childcare for pre-school children

In what concerns children aged 0-2 years old, the fraction of children attending crèches is higher in children with 2 and 1 year old whilst children aged 1 year and less have the higher fraction of children attending childminders.

The coverage rate in childcare (below 3 years old) is 41.8% per cent (2012).

Percentage of children in childcare by age (2012)

Type of Childcare	<1 years	1 years	2 years	3 years*
Creche	17.5	31.5	40.4	3.3
Childminder	0.9	1.9	1.8	0.3

Note:* at age 3 children start the pre-school. However due to schooling calendar some children aged 3 years old stay on crèches for some months.

Although Pre-School Institutions are primarily directed to children aged 3 to 5 years old, children aged 2 years old may enrol in September if they complete 3 years until 31 of December. Priority in access is giving to the most aged children. In what concerns pre-school education the real schooling rate reached 89.3% in the school year 2011/2012.

Percentage of children in Pre-school by age (2011/2012)

	3 years	4 years	5 years
Pre-school	78.4%	91.6%	97.9%

Compulsory schooling begins at the age of 6, although children aged 5 years old may enrol in September if they complete 6 years until 31 of December.

7.1 Out-of-pocket childcare fees paid by parents

The rules for fees to be paid for using childcare services provided by public or non-profit organizations (the latter also called IPSS) are as follows:

The family fee is determined through a percentage over the *per capita* income of the household as shown in the table below:

Services and equipments	Income tiers					
	1st	2nd	3rd	4th	5th	6th
<i>Crèche, childminder and family crèches</i>	15%	22.5%	27.5%	30%	32,5%	35%
<i>ATL (Free-Time Activity Centres – without meals</i>	5%	7%	10%	12.5%	15%	15%
<i>ATL (Free-Time</i>	12.5%	15%	17.5%	20%	22.5%	22.5%

<i>Activity Centres) – with meals</i>						
<i>Children's Home</i>	40%	45%	50%	50%	55%	75%

The maximum family fee calculated according to these rules cannot be higher than the real average cost (including administration expenses) per user of the service in question. The estimate of the real average cost amounted to around EUR 345 per month in 2009.

Family fees

Reduction of the family fee:

- 20% reduction in case more than one individual from the same household uses the same establishment;
- 25% reduction in the following cases:
 - When meals are not provided by the establishment or if the user doesn't benefit from them;
 - When justified absent periods exceed 15 days non interpolated.

The institutions may reduce, suspend or excuse the payment of the family fee in special cases where a careful socio-economic analysis of the household condition concludes that the household cannot afford those fees.

The calculation of the per capita income is made according to the following formula:

$R = (RF - D) / N$, being

R = per capita income

RF = gross monthly household income (sum of all household income/12). The Holidays and Christmas subsidies (i.e. the 2 extra monthly wages – each Portuguese worker usually receives 14 wages during a year of work) are not considered as part of the “gross monthly household income” for this purpose.

D = fixed expenses (these include tax, social contributions, house rent or mortgage payment, average monthly cost related to public transportation, medicine expenses when related to chronic illnesses)

N = number of individuals of the household

Per capita income tiers as a percentage of the National Minimum Wage (NMW, EUR 505 for 2015), used for calculation of the family/user fee:

<i>1st tier</i>	Until 30% of NMW
<i>2nd tier</i>	Between 30% and 50% of NMW
<i>3rd tier</i>	Between 50% and 70% of NMW
<i>4th tier</i>	Between 70% and 100% of NMW
<i>5th tier</i>	Between 100% and 150% of NMW
<i>6th tier</i>	Over 150% of NMW

The family fees are generally annually revised and the amounts are legislated.

Childcare fees for crèches and kindergartens are considered as educational/training expenses for tax purposes. As so, 30% of household educational expenses are tax deductible to the limit of EUR 800 . In case the household has 3 or more dependents, this limit is increased by an amount correspondent to 30% of the NMW for each dependent if all of them have educational/training expenses.

[Do special fee arrangements apply if children are only attending childcare on a part-time basis?]

7.2 *Child-care benefits*

There are no cash benefits received by parents for children in childcare. Nevertheless, indirect support is provided as most childcare institutions (Crèches: non-profitable organizations) receive State Support through Cooperation Agreement and in return they must provide priority in access to children of low income families and comply with the above mentioned rules for family fee calculation. Nannies can also benefit from these arrangements.

In 2015, the State supported most non-profit organizations with a monthly amount of EUR 250 *per* child. Nannies are entitled to a State per child monthly support of EUR 187.80 for the 1st and 2nd children and EUR 210.3 for the 3rd and the 4th. If the nanny has solely one child with disability she receives EUR 375.61 monthly, and if the nanny has more than one child with at least one child with disability, the per child monthly support increases to EUR 420.68. Additionally, nannies and not-for-profit crèches supported by the State receive the family fee according to the family socio-economic conditions as referred above. Childcare fees are not taken into account for social assistance.

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups, including disabled

8. Employment-conditional benefits

For Parental Leave, see point 6.4.4.

Employees, self-employed and some beneficiaries of Voluntary Social Insurance are entitled to the Illness Subsidy, a cash benefit aimed at compensating the loss of earnings due to a temporary unavailability to work, due to sickness. It does not include professional illness which is covered by another insurance scheme.

Regarding the leave for assistance of dependent children, each working parent (employee or Social Voluntary Beneficiary) is entitled to an annual subsidized leave for providing assistance in sickness or due to an accident.

8.1 Conditions for receipt

For the illness subsidy, it is required to be temporarily unavailable to work due to sickness, certified by the family doctor (or another doctor who is working in his/her behalf) and to have at least 6 months registered earnings and the respective social contributions at the moment of sickness . as well as 12 days of effective work with earnings registration within the period of four months immediately prior to the month preceding the beginning of the incapacity (this condition does not apply to self-employed or seafarers).

For the leave for assistance of dependent children, it is required to have at least 6 months registered earnings and the respective social contributions at the moment of sickness/accident and a working spouse (if applicable) not requiring the same subsidy.

8.2 Calculation of benefit amount

The illness subsidy amount is a percentage of the reference remuneration. The benefit amount varies according to the duration of the benefit/leave, as shown in the table below.

Benefit duration	Percentage of reference remuneration
Up to 30 days	55%
Between 31 to 90 days	60%
Between 91 to 365 days	70%
Over 365 days	75%

In case of Tuberculosis, the illness benefit has a special formula:

Household composition	Percentage of reference remuneration
Up to 2 dependent persons	80%
More than 2 dependent persons	100%

The leave for assistance of dependent children amount is a 65% of the reference remuneration. If the reference remuneration is very low, there is a minimum daily value of EUR 11.30 ($80\% \times 1/30 \times \text{IAS}$).

8.2.1 Calculation of gross benefit

The daily amount of benefits is paid according to the reference income of the beneficiary in the 6 months of registered earnings before the illness leave. The daily reference income is calculated as follows: $R/180$ in which R corresponds to the total amount of income received (excluding holidays and Christmas

bonus) during the first 6 months of the last 8 months prior to the birth and 180 to the number of available days in 6 months.

However, if the beneficiary does not have 6 months of registered earnings before the sickness, the daily amount of benefits are calculated as follows: $R/(30 \times n)$ in which R equals the total amount of income received and n equals the number of months.

The minimum amount of this benefit cannot be less than 30% of the IAS, or the reference income if this lower. The benefit amount cannot be higher than the net income from work.

Illness subsidy amount = Percentage of reference income (see the four situations on the table above) x daily reference income x days of leave (in each situation referred on the table above).

Subsidy amount (for the leave for assistance of dependent children) = 65% x reference remuneration.

8.3 Tax treatment of benefit and interaction with other benefits

The illness subsidy can be accumulated with:

- Subsidies to compensate the holiday and Christmas bonus;
- Social Insertion Income;
- Indemnities for temporary incapability due to professional accidents or illness as long as their value is below the illness subsidy amount;
- Pension paid under professional accidents, professional illness and other schemes concerning compensation/indemnity.

The illness subsidy cannot be accumulated with:

- Invalidity and old age Pension;
- Unemployment Insurance and Unemployment Social Assistance;
- Maternity and Paternity (Parental) Leaves;
- Social Security means-tested benefits, except for SII.

8.4 Benefit duration

For the Illness subsidy the maximum duration is 1,095 days for employees and some Voluntary Social Insurance beneficiaries working on the sea transportation sector, 365 days for self-employed and Voluntary Social Insurance beneficiaries working with a academic research scholarship and without limit for beneficiaries suffering from tuberculosis.

In what concerns the leave for assistance of dependent children and family members, the duration is dependent on who is the beneficiary of the assistance, as shown in table below:

Reference date for all information is July 1st 2015

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Child age and condition	Maximum annual duration for each parent	Accrual by number of children
Children under 12 years old, with disability or with chronic disease that is hospitalized	No limit	
Children under 12 years old, with disability or with chronic disease	30 days	1 day for each other child
Children over 12 years old	15 days	1 day for each other child

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

For leave duration under 91 days, a 5% accrual to the percentages is applied on the calculation of the illness subsidy amount for beneficiaries:

- If their reference income is equal or below EUR 500;
- If they have 3 or more children;
- If they have a child with disability.

9. Lone-parent benefits

There are no specific benefits for lone-parent families. However, several other benefits have special conditions or benefit amounts for lone-parents (e.g. Family Allowances and Unemployment Benefit).

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

10. Tax system

The standard rule is separate taxation. However, families may opt for joint taxation. Income includes the income of any dependent children. Tax is computed on aggregate net income in the various categories of income, *i.e.* after the deductions specific to each category and standard and non-standard reliefs.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Standard deduction of 72% of 12 times the Social Benefit Index per taxpayer (the 2010 highest monthly minimum wage until the index reaches this value).¹ If compulsory contributions to social protection schemes and statutory sub-schemes for health care exceed that limit, the deduction will equal the amount of those contributions.

A deduction is provided for the portion of trade union dues excluding those related to benefits in the realm of health care, education, assistance for the elderly, housing, insurance or social security, up to 1% of the taxpayer's gross income, increased by 50%.

10.1.1.2 Standard tax credits

Basic credits

- EUR 325 for each dependent child. This tax credit is increased by 125 euros for dependent children whose age does not exceed 3 years old.
- EUR 300 for each ascendant whose income does not exceed the minimum pension benefit. When there is only one ascendant, the tax credit increases by 110 euros.

Other tax credits

- 35% of household general expenses up to a limit of 250 euros, per taxpayer; this limit is increased to 45% and 335 euros, respectively.
- Non-reimbursed health care costs, not covered by Social Security: 15% of health care costs plus interest on loans contracted to meet them, with a limit of EUR 1000
- Expenditures for educating the taxpayer or the taxpayer's dependants: 30% of outlays, up to 800 euros.
- Costs for sanatoria or retirement homes for taxpayers, their ascendants and collaterals up to the third degree whose income does not exceed the national minimum wage: 25% of expenses up to EUR 403.75.

1. The corresponding amount equals EUR 4 104.00 (72% x 12 x EUR 475.00).

- Costs for the acquisition, construction or improvement of the taxpayers' primary, permanent residence, or for renting out property for a permanent residence: 15% of interest up to EUR 296.00. Rent paid by a tenant, for his permanent residence under an agreement typified by the law, up to EUR 502.00. This credit is applicable to contracts up to 31.12.2011. These limits are also increased by 50% for taxpayers in the first tax rate bracket, by 20% for taxpayers in the second tax rate bracket. This credit is to be phased out until 2016 (interests) and 2018 (rents).
- 20% of alimony payments compulsory under court order or court-approved agreement.
- 30% of education expenditures and 25% of life insurance premiums, up to a limit of 15% of the tax liability, for handicapped taxpayers or dependents.
- 15% of VAT paid for certain services (restaurants, lodging, hairdressers, and auto-repair) up to a limit of EUR 250. This benefit is not included on the limits referred to on the next page.

Tax credits from tax benefits

- Individual Retirement Savings Plans (PPRs): 20% of amounts invested, for unmarried taxpayers or for each spouse, up to:
EUR 400 for taxpayers under 35;
EUR 350 for taxpayers over 35 and under 50;
EUR 300 for taxpayers over 50.
- Social Security Individual Accounts: 20% of amounts invested, for unmarried taxpayers or for each spouse, up to a limit of EUR 350.

Donations granted on the conditions stated in the statutes governing charities (grants to central, regional or local government, special "social solidarity institutions", museums, libraries, schools, institutes, educational or research associations, public administrative bodies, etc.): 25% of donations, limited in certain cases to 15% of the donor's tax liability. However the total of tax credits related to health care costs, education and training, alimony, retirement homes, VAT paid, house expenses and tax benefits cannot exceed the values of the following amounts:

Taxable income (EUR) (R)	Limit
Up to 7 000	Without limit
Between 7000 and 80000	$1000 + \left[(2500 - 1000) \times \left(\frac{80000 - \square\square\square\square\square\square\square\square}{80000 - 7000} \right) \right]$
Over 80 000	EUR 1000

Limits are increased in 5% for each dependent.

10.1.2 Family status

Each taxpayer has an equal weight of 1, and every dependent has a weight of 0.3 (0.15 if the household files separate tax returns, as the dependent will be included in both parents' annual tax returns). There is a limit on the amount a family can benefit from the introduction of the family coefficient:

- For separate tax returns, 300 euros for a household with one dependant, 625 euros for a household with 2 dependants and 1000 euros for a household with 3 or more dependants;
- For joint tax returns, the values are, respectively, 600 euros, 1 250 euros and 2 000 euros;
- For single parent households the values are, respectively, 350 euros, 750 euros and 1 200 euros

10.1.2.1 Determination of taxable income

To determine taxable income, to which the rates listed in the tax schedule are applied, income is divided by the household coefficient.

10.1.2 Tax rate schedule (applicable to 2015 income)

Taxable income (EUR) (R)	Marginal tax rate (%) (T)	Amount to deduct (EUR) (K)
Up to 7 000	14.50	---
Over 7 000 up to 20 000	28.50	980
Over 20 000 up to 40 000	37.00	2 680
Over 40 000 up to 80 000	45.00	5 880
Over 80 000	48.00	8 280

In the case of taxpayers whose income stems primarily from dependent employment (earned income), disposable income after application of the tax rates to taxable income may not be less than 120% of the national minimum wage, EUR 8 500.00 in 2015.

For residents in the Autonomous Regions of the Azores, reduced tax rates are applicable.

Tax calculation formula (I = Income tax due):

- Unmarried taxpayers: $I = R \times T - K - C$

Married taxpayers (with one or two earned incomes/see Section 10.1.2.1):

- $I = \{ [(R / HC) \times T - K] \times HC \} - C$

Where:

R = Taxable income, after deduction of standard and non-standard reliefs (see Sections 10.1.1.2 and 10.1.2.1)

T = Tax rate corresponding to the taxable income bracket

K = Amount to be deducted from each bracket

C = Tax credits (see Section 1.14)

HC = Household coefficient.

Surtax:

A surtax was introduced by the 2012 State Budget and is applicable on highest income bracket. The surtax is now 2.5 per cent applicable to taxable income between EUR 80 000 and EUR 250 000 and 5 per cent for taxable income above EUR 250 000. Furthermore, a 3.5 per cent surtax was reintroduced, for taxable income above the annual national minimum wage (EUR 6 790), with a tax credit of 2.5 per cent of the annual minimum wage per dependent (EUR 169.75).

10.1.3 State and local income taxes

10.2 Treatment of family income

The standard rule is separate taxation. However, families may opt for joint taxation. Income includes the income of any dependent children.

10.3 Social security contributions and payroll taxes

Social security contributions are totally deductible if they exceed EUR 4 104.00 per taxpayer, in which case the deduction for the contributions replaces the standard earned income deduction.

10.3.1 Contributions payable by employees and benefit recipients

Generally the rate of employee contributions is 11 per cent of gross pay, with no ceiling.

10.3.2 Contributions payable by employers

The employer's rate of social security contributions is 23.75 per cent of gross pay, with no ceiling.

10.3.3 Payroll taxes

10.4 Treatment of particular group

[for income taxes, social contributions and payroll taxes]

10.4.1 Young persons

10.4.2 Older workers

Workers who have concluded pre-retirement agreements establishing the suspension or reduction of work – reduced contribution rate : 8,6%

Employer – 18,3%

Active Workers aged 65 years and with a 40 year insurance period – 8%

Employer – 17,3%

10.4.3 *Others if applicable*

[e.g. immigrants, self-employed, sick or disabled, pensioners]

Disability pensioners in activity – 8.9%

Employer – 19.3%

Old age pensioners in activity – 7.5%

Employer – 16.4%

Self-employed

The contribution rate of self-employed persons and helping spouses amounts to 29.6% (reduced rates apply to certain groups)

Self-employed engaged in commercial or industrial activities and for members of the statutory bodies of legal persons – 34.75%

Farmers and helping spouses who pursue with them an effective activity with regularity and permanence – 28,3%

Contracting entities – 5% (applied to the total value of the services they received).

11. Part-time work

11.1 *Special benefit rules for part-time work*

The worker may change from full-time to part-time work for a pre-determined period up to a maximum of 3 years also due to the need to accompany the sons, adopted children or stepson that live with him/her, during the first 12 years of their lives (no age limit in case of disability). In this case only, the period of time spent in part-time work will be taken into consideration as if it was full-time work for the calculation of any benefit under the general regime of the public social security system for private workers.

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

12.1 Policy changes introduced: 2nd July 2014 – 1st July 2015

The reduced social contributions levied on unemployment and illness benefits (6% and 5%, respectively) are no longer applied to recipients, following the decision of the Constitutional Court.

The IAS remained constant in 2015.

12.2 Future policy changes announced since 1st July 2015

Both the reference values for the Solidarity Supplement for the Elderly (Complemento Solidário para Idosos) and for the Social Insertion Income (SII), minimum social benefits intended to protect persons in situation of hardship has been increased in the beginning of 2016 (Decree Law no. 254-B/2015, January 31 and Decree Law no. 1/2016, January 6, respectively), as well as the Family Benefits, as announced by the Government (Decree Law no. 2/2016, January 6 and Ordinance no. 11-A/2016, January 29).

The values of the SII equivalence scale has also changed which means an increase of the reference value for each adult and each child.

Alterations in parental leave will come into force with the approval of the State Budget for 2016 that will make it possible for both parents to share simultaneously the initial parental leave between 120 and 150 days and the increasing of the mandatory parental leave exclusive for the father from 10 to 15 days.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.